

BOARD OF CBA

MINUTES

(22.09.2015)

Refinancing Rate for September 22, 2015

The CBA Board Meeting of September 22, 2015 attended by Chairman Arthur Javadyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vaghtang Abrahamyan.

The Board Meeting opened with presentation of the Situation Report as of September 22, 2015. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

In August of 2015, the inflation rate was 0.1% against 0.7% recorded in the same reference period last year. As a result, the 12-month inflation rate kept on declining to 3.6% in late August. The month's inflation was fuelled by price increases in food products (item "vegetables and fruits") and services (items "transportation" and "medicament") for a total of 0.15 pp. The 12-month core inflation rate continued subsiding to 1.9% in August.

Based on the past 8 months' results, economic activity in Armenia grew at a higher pace than expected, which was largely due to higher growth in agriculture and services. Unlike supply, aggregate domestic demand remains weak, reflecting private consumption and private investment which are still following a declining path. It should be noted that the third quarter's fiscal policy had more-than-expected expansionary effect on aggregate demand – the fiscal impulse is estimated to be 1.5 expansionary.

According to January-August 2015 results, export (trade statistics: FOB) has grown by 0.5% but import (trade statistics: CIF) reduced by 23.6% in relation to January-August 2014. In the meantime, net inflow of non-commercial transfers by individuals via the banking system has declined by 36.9% y/y.

The Board reflected on the developments in the financial market, which again incurred the impact of certain tension in the foreign exchange market in August-September. As of September 15, 2015,

average monthly repo rate of the CBA was 11.0%, having risen by 0.5 pp relative to the same reference day of the previous month and average interest rate of treasury bills with up to 1-year of maturity in primary market reached 11.9%, having posted a 0.05 pp drop.

In Armenia's foreign exchange market in August-September, the domestic currency, the dram, tended to depreciate. As of September 15, 2015, relative to the same reference day of the previous month, the dram had depreciated versus the U.S. dollar by roughly 1.2 % to AMD 482.5; against Euro by 3.1 % to AMD 541.9 but appreciated in relation to the Russian ruble by 14.4 % to AMD 7.18.

In the third quarter of 2015 too, world economic growth rates kept on recovering sluggishly and deflationary developments were further observable in basic commodity and food product markets. The FAO's Food Price Index of June 4, 2015 came out with 5.2 5 drop in August against the previous month's index (with as much as 21.5% reduction in relation to the same reference period last year). According to the U.S. Department of Agriculture and New York Board-Intercontinental Exchange data, export prices of Hard Red Wheat and Rough Sugar are expected to fall by 13.9% q/q (28.4% decrease y/y) and 9.3% q/q (29.1% decrease y/y), respectively.

According to the CBA estimates, average price decrease of "Brent" crude, as quoted at Intercontinental Exchange, will be 18.1% in the third quarter of 2015 against the previous quarter (50.2% reduction y/y). At London Metal Exchange, the copper price will plunge by 12.4% q/q (24.0% decrease y/y).

Depreciation of Euro versus the U.S. dollar was 0.6% in the third quarter of 2015 and 15.8% against the same reference period last year.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

Trends of slow global economic growth persisted in the external sector while international commodity markets remained deflationary. In view of such developments, the Board estimates that inflationary effects from the external sector in the coming months are not likely. However, in anticipation of capital outflows from developing countries because of expected rise of policy rate by the U.S. Federal Reserve System, volatilities in the world's

financial and foreign exchange markets have substantially increased, generating inflationary risks.

The Board notes that higher-than-expected growth rates of economic activity were maintained in the third quarter too, and this has been mainly due to supply-side factors. Expansionary fiscal policy has contributed to the recovery of domestic demand to a certain extent and a partial offset of the deflationary environment. The above developments with aggregate supply and demand have speeded up net export growth rates, significantly improving Armenia's external balance. The Board believes that such developments with economic fundamentals have notably increased the country's resilience to external shocks. Growing volatility in financial and foreign exchange markets of the world has created relatively high domestic inflation expectations, which prevented the shaping of a lower inflationary environment. In this situation, the Board considers it appropriate to maintain current monetary conditions, in which case the 12-month inflation rate will subdue and fluctuate within the lower bound of the confidence band by the end of the year. This kind of monetary policy will enable to reduce and anchor inflation expectations in the coming period and fulfill the inflation target over a medium-term perspective.

If needed, the Board will adjust the monetary policy directions in line with inflation expectations in the domestic economy and developments in external financial markets in order to achieve the goal of price stability over the medium term.

At the September 22, 2015 meeting, the Board of the CBA decided to leave Refinancing Rate unchanged, at 10.25%, with Lombard Repo Facility Rate and Deposit Facility Rate set at 11.75% and 8.25%, respectively.

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